

Simon uses the straight-line method for depreciating the delivery vehicles. A rate of 20% per annum on cost is used, with the rate being applied for each part of the year for which the delivery vehicles are owned.

REQUIRED

- Simon
Delivery vehicles account

7707/22/O/N/21

Provision for depreciation of delivery vehicles account

[illegible]

Delivery vehicles disposal account

[illegible]

[15]

Simon's sister Yasmin is also in business and depreciates her delivery vehicles by the reducing balance method.

Simon is considering whether to apply the reducing balance method of depreciation to his delivery vehicles.

REQUIRED

- (b)** Advise Simon whether he should apply the reducing balance method of depreciation. Justify your answer.

..... [5]

[5]

[Total: 20]